



## **Qualification Programme Examination Panelist's Report**

### **Module 8 – Principles of Auditing (June 2023 Session)**

*(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)*

#### **(I) Section A – Multiple Choice Questions**

##### **General Comments**

The multiple choice questions covered principles of professional ethics, inherent risk, control activities, application of test control procedures and substantive procedures. In general, the performance of candidates was satisfactory for questions relating to principle of professional ethics, control activities and application of test control procedures. Candidates' performance was less satisfactory for questions relating to inherent risk and application of substantive procedures.

##### **Specific Comments**

Candidates showed weaknesses in the following areas:

- Inherent risk of misstatement of service revenue.
- Application of substantive procedure for assertions of sales revenue as well as accounts payable and accruals.

#### **(II) Section B – Written Questions**

##### **General Comments**

The written questions covered basic auditing concepts such as statutory audit requirements, the audit risk model and its application, risk assessment procedures, the roles of internal and external auditors, reliance on the work of internal auditors, elements of assurance engagements, types of audit procedures, the application of analytical procedures, going concern, types of modified opinions, and emphasis of matter paragraphs.

Candidates performed better on questions related to the auditor's opinion. However, they did not perform well on some of the questions about basic accounting concepts due to insufficient study of the subject materials. They also did not perform well when answering questions on topics such as statutory audit requirements, risk assessment procedures, the application of the audit risk model, elements of assurance engagements, reliance on the work of internal auditors, and the application of analytical procedures.



### **Specific Comments**

#### **Question 1(a) – 3 Marks**

This question required candidates to describe the statutory audit requirement. The performance was not satisfactory. Many candidates were not able to describe the statutory audit requirement and provided irrelevant answers.

#### **Question 1(b) – 4 Marks**

This question required candidates to list the components of internal control. Some candidates performed well, but some candidates were not able to list the components of internal control.

#### **Question 1(c) – 6 Marks**

This question required candidates to describe the risk assessment procedures to be performed by auditors for understanding of entity's control activities relevant to the preparation of financial statement. The candidates' performance was not satisfactory. They provided irrelevant answers.

#### **Question 1(d) – 6 Marks**

This question required candidates to define the audit risk model and its elements. Most candidates were able to define the audit risk model, but not many of them could define the elements.

#### **Question 1(e) – 3 Marks**

This question required candidates to apply the audit risk model to an audit scenario. The candidates' performance was not satisfactory. They did not understand the relationship between control risk and the extent of substantive procedures.

#### **Question 2(a) – 4 Marks**

This question required candidates to describe the role of internal auditors and external auditors. Some candidates' performance was satisfactory. Some candidates were not able to describe the role of internal auditors. Some candidates were not able to point out the independent role of the external auditors.

#### **Question 2(b) – 10 Marks**

This question required candidates to list and explain the five elements for an assurance engagement. Most candidates were not able to list out the five elements. They provided irrelevant answers such as “the process of audit acceptance” or “audit process”.



Question 2(c) – 3 Marks

This question required candidates to list the three factors to be evaluated by an external auditor to determine whether the work of the internal audit function can be used for the purpose of the audit. Some candidates did provide “competence of the internal audit function”. Most candidates were not able to list the three factors.

Question 3(a) – 9 Marks

This question required candidates to list and explain types of audit procedures. In general, many candidates were able to list the types of audit procedures. However, some candidates were not able to list all audit procedures. Some candidates mixed up observation and inspection.

Question 3(b) – 2 Marks

This question required candidates to describe the purpose of analytical procedures as a risk assessment procedure at the planning stage of an audit. The performance was poor. It seems candidates did not put enough effort into the study of audit planning.

Question 3(c) – 3 Marks

This question required candidates to list the factors for auditors' consideration when designing and performing analytical procedures as substantive procedures. Most candidates were not able to list the factors for consideration. Some candidates only discussed ratio analysis as analytical procedure.

Question 3(d) – 3 Marks

This question required candidates to list analytical procedures that can be used to identify possible sources of misstatement in company's expenses. Some candidates performed well but others were not able to answer this question and provided other substantive procedures.

Question 4(a) – 6 Marks

This question required candidates to explain the going concern basis of accounting. Some candidates performed well but some candidates were not able to explain the concept in detail.

Question 4(b) – 5 Marks

This question required candidates to list four possible procedures for evaluating management assessment of the entity's ability to continue as a going concern. The performance of candidates was not satisfactory. They provided some irrelevant audit procedures.



Question 4(c) – 2 Marks

This question required candidates to describe an emphasis of matter paragraph. In general, the performance was satisfactory.

Question 4(d) – 3 Marks

This question required candidates to describe three types of modified auditor's opinion. The performance was satisfactory.

Question 4(e) – 2 Marks

This question required candidates to contrast the major differences of the three types of modified auditor's opinion. The performance was satisfactory. However, some candidates were not able to contrast the major differences of the three types of modified auditor's opinion.

Question 4(f) – 6 Marks

This question required candidates to determine the type of auditor's opinion for the financial statements of the given case. Many candidates were not able to determine the type of auditor's opinion. For those who could determine the type, some of them were not able to provide a detailed explanation.

**(III) Conclusion and Recommendation**

Overall, the performance of the candidates was not satisfactory. The performance of candidates for the multiple choice questions was satisfactory. The candidates performed less satisfactorily when attempting the written questions.

The candidates displayed a lack of understanding of some basic auditing knowledge, and they did not perform well on application of the knowledge of the Auditing and Accounting Standards.

Candidates are advised to put adequate effort into studying the learning materials before taking this module exam.

Candidates are reminded to read the questions carefully to interpret the question requirement correctly.